Case study · Domenico Perroni

HR & FINANCE

What will next year's people cost be?

Client: An employer in Milan and Kraków closing its FY2026 people budget and planning FY2027.

> **What does one person really cost in each country, why did last year overrun, and what does next year cost if we freeze hiring, lose more people or start closing pay gaps?**

€5.8M
over the FY2026 budget (5.7%), explained by volume

€59,382
a fully loaded FTE in Milan, against €41,727 in Kraków

€111.0M
FY2027 in the base case (+3.6%)

€0.76M
added in FY2027 by closing pay gaps from January

WHAT I DID

- Loaded every employee with each employer contribution, cap by cap: INPS and TFR in Italy; ZUS, the Labour Fund, FGŚP and PPK in Poland.
- Split the FY2026 variance into volume, mix and rate, adding up exactly to the overrun.
- Forecast FY2027 month by month under four scenarios, moving FTE rather than people.
- Built a simulator for the budget meeting, with the cost of one employee in four countries.

WHAT IT FOUND

- A hiring freeze from October cuts FY2027 to €104.6M but ends the year with 278 fewer FTE: a capacity decision, not a finance one.
- Higher attrition barely moves payroll but lifts recruitment cost to €1.54M.

WITH REAL DATA

- Actual payroll by month, with the company's own on-cost rules and benefits.
- Hiring and leaver plans by team from the business, not last year's rates.
- The pay-gap remediation from the client's own Article 10 screen.

How it is checked. 570 figures reconciled between the Excel formulas and pandas; the simulator checked against the model on 9,679 values; every rate and cap in a register with its source.

Workforce planning · Budget variance · Employer costs IT/PL/DE/ES · Excel modelling · Python

Read the CFO memo https://d0m3n1c0x.github.io/workforce-cost-model/

Try the simulator https://d0m3n1c0x.github.io/workforce-cost-model/simulator/

The repository https://github.com/D0M3N1C0X/workforce-cost-model

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Synthetic or public data; not legal, pay or investment advice. Figures as published on 24 October 2026. Domenico Perroni · HR advisory, people analytics, reward · Kraków · d0m3n1c0x.github.io